

ARAB REPUBLIC OF EGYPT

Sovereign Credit Note | June 2026

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RECOMMENDATION

LONG

Egyptian Eurobonds

Entry: Current spread levels (~281bps CDS)
Target: 220–240bps spread compression by year-end 2026
Stop-loss: Exit on sustained move wider than 350bps
Conviction: Moderate. Position sized modestly given Hormuz tail risk

Executive Summary

Egypt's post-February 2026 deterioration reflects a transitory external shock: Iran conflict spillovers, Suez Canal disruption, and energy price passthrough. This is not a structural breakdown in its IMF programme trajectory. The fundamentals that drove the 2024 recovery remain intact: a functioning IMF anchor, a rebuilt reserve position (\$53bn gross), demonstrated fiscal consolidation, and a credible CBE monetary framework. With oil sharply back at ~\$70, acute pressure is easing. I expect foreign investor inflows to resume into H2 2026 as the macro picture stabilises, driving spread compression from current levels.

The primary risk is the GCC financing gap. Gulf states are increasingly prioritising domestic investment programmes over bilateral regional support, a structural shift that creates medium-term vulnerability as the EFF expires in December 2026. The IMF's own framework rates overall sovereign stress as HIGH and assesses debt as "sustainable but not with high probability," reflecting genuine uncertainty about the post-programme financing path. I initiate a modest long in USD-denominated Egyptian eurobonds, targeting spread compression toward 220–240bps by year-end, with a stop at 350bps or evidence of IMF programme derailment.

Key Metrics at a Glance

Indicator	Value / Status
Public Debt / GDP (FY2024/25)	91.8%
IMF Debt / GDP Target (2031)	<75%
Gross Financing Needs	~40% of GDP (next 3 years)
Interest / Tax Revenue	~83%
Gross International Reserves	\$53.1bn (May 2026)
5yr CDS Spread	281bps (25 Jun 2026)
Real GDP Growth (FY2024/25)	4.4%

IMF Growth Forecast (2026)	4.2% (post-Iran revision)
CPI Inflation (latest)	14.6% YoY (May 2026)
EGP/USD (current)	~49.5
IMF Programme	EFF \$8bn, Dec 2026 expiry
GCC Deposits at CBE	\$18.3bn (non-withdrawal assured Dec 2026)
T-bill Yield (182-day, 25 Jun)	25.66%

1. Macro Overview

Pre-War Baseline: Stabilisation Working, Structure Lagging

The February 2026 IMF 5th/6th EFF review is the right analytical starting point. It establishes what the programme had achieved before the Iran conflict disrupted the trajectory. By February 2026, real GDP had recovered to 4.4% in FY2024/25, accelerating further to 5.3% year-on-year in Q1 FY2025/26. The IMF projected growth reaching 4.7% in FY2025/26 and 5.7% by FY2027/28, a trajectory contingent on structural reform delivery that had not yet materialised.

Inflation had fallen sharply. Headline urban CPI peaked above 35% before declining to 12.3% by December 2025, driven by tight monetary policy, fiscal consolidation, and the elimination of the parallel FX market premium. The March 2024 devaluation from approximately EGP30 to EGP50 against the dollar was the pivotal policy event: it unified official and parallel rates, cleared the FX backlog strangling import activity, and unlocked IMF disbursements. The CBE simultaneously raised rates 600bps to 27.25%. Through 2025, EGP traded in a managed float between EGP46.99–51.75, with the April 2025 spike to 51.75 (triggered by US tariff announcements) reversing quickly on Gulf inflows and nonresident T-bill demand.

The current account improved materially. The CAD narrowed from 5.4% to 4.2% of GDP in FY2024/25, driven by remittances surging from 5.7% to 9.9% of GDP and tourism receipts rising from 3.8% to 4.6%. Both improvements carry Gulf linkage: Egyptian worker remittances originate significantly from Gulf states, and Gulf tourist flows are sensitive to regional sentiment. Gross reserves rose from \$54.9bn to ~\$59.2bn by December 2025, supported by a \$3.5bn Qatari land sale, a \$1.5bn sukuk issuance, and record nonresident inflows into local T-bills that doubled over 2025 to reach \$32.8bn outstanding.

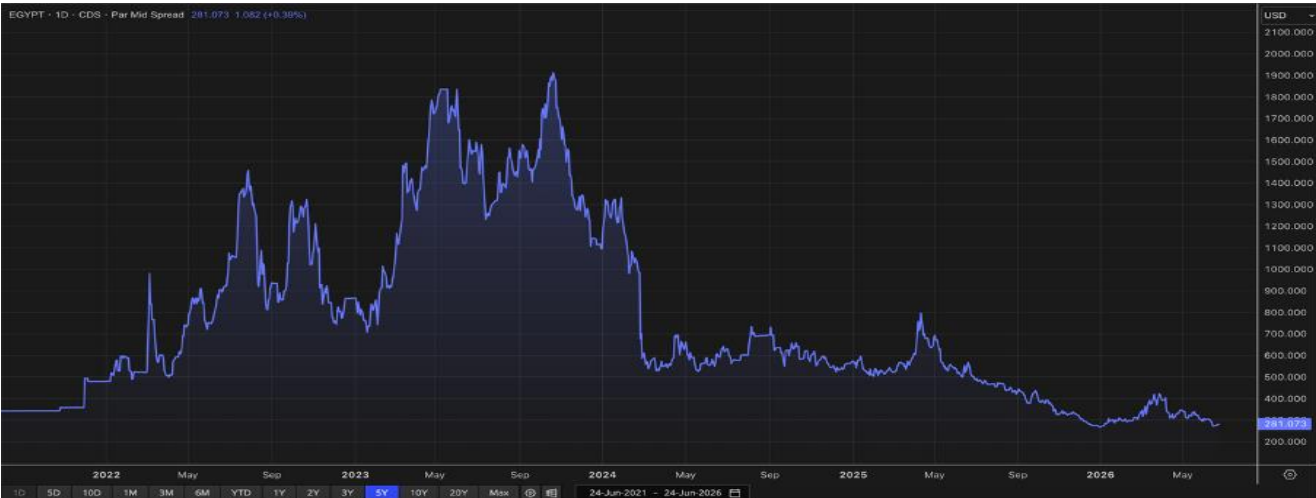


Figure 1: Egypt 5yr CDS Spread (bps), Daily 5-Year. Source: Refinitiv Workspace

The Oil Price Transmission Mechanism

The central analytical lens for Egypt's external vulnerability is the oil price transmission chain: Brent crude → Gulf sovereign fiscal surplus compression → reduced bilateral transfer capacity → CBE deposit rollover risk and reduced investment appetite → NFA drawdown and reserve pressure → EGP depreciation → imported inflation acceleration → real rate erosion → carry trade attractiveness deterioration → nonresident outflow pressure. This chain makes Egypt's credit trajectory significantly more correlated with global oil prices than a standard EM credit framework would suggest for a country that is itself only a marginal hydrocarbon producer.

Gulf sovereign fiscal breakevens (Saudi Arabia at approximately \$90–95/barrel, UAE somewhat lower given greater diversification) mean that at Brent ~\$70, Gulf states are operating at or below fiscal breakeven. This compresses the discretionary capacity for bilateral deployment to Egypt precisely when Egypt's own revenue streams are under pressure. The mechanism is asymmetric: there is no clean oil price outcome for Egypt. Lower oil eases domestic inflation but compresses Gulf support; higher oil from Hormuz re-escalation restores Gulf fiscal headroom but widens Egypt's energy import bill and revives regional risk-off. The investment thesis is calibrated around the middle of that distribution.



Figure 2: EGP/USD Exchange Rate, Daily 5-Year. Source: Refinitiv Workspace

Post-War Deterioration: Three Channels Impaired Simultaneously

The Iran conflict, escalating from June 2025, has disrupted the stabilisation trajectory through simultaneous impairment of Egypt's three principal hard currency income streams. Egypt became a net energy importer approximately four months prior to the current assessment period, widening the current account at exactly the moment when other inflows are under pressure. The IMF had projected CAD narrowing to 3.8% of GDP in FY2025/26, assuming Suez normalisation, stable tourism, and continued remittance strength. All three assumptions have been violated simultaneously.

Suez Canal revenues, recovering gradually in the IMF's pre-war baseline, suffered further significant disruption from the Iran conflict. Pre-crisis run rates were approximately \$9–10bn annually. The disruption mechanism operates through shipping insurance repricing, cargo routing decisions made on contract cycles of months to years, and tanker operator risk assessments that are slow to reverse even after a formal ceasefire. The IMF noted that "Suez Canal disruptions continued to weigh on

receipts” even in FY2024/25; the June 2025 escalation has extended that horizon materially. DB notes five consecutive months of economic activity contraction and has revised its Egypt 2026 growth forecast to 4.2% from pre-war projections above 5%.

Tourism receipts, having recovered strongly to 4.6% of GDP, are directly exposed to regional conflict sentiment. European and Gulf visitor confidence does not recover on a ceasefire announcement. Airline network decisions are made on booking windows and load factors, not on geopolitical headlines. Even in the base case where the US-Iran MoU holds, tourism revenue recovery to pre-war trajectory is unlikely within 2026. Remittances, the single largest positive current account item at 9.9% of GDP, are partially exposed to Gulf economic conditions through the labour market channel.

2. Fiscal Analysis

Egypt’s fiscal position has improved materially under the IMF programme but remains structurally vulnerable. Revenue collection has strengthened, with the primary balance moving into surplus. However, the single most alarming fiscal metric is interest payments absorbing approximately 83% of tax revenues. For every EGP100 collected in taxes, EGP83 is consumed by debt service before a single pound is spent on public services, investment, or social protection. This interest-to-revenue trap is the central credit vulnerability and the mechanism through which any deterioration in borrowing costs, FX rate, or growth becomes immediately fiscally destabilising.

The fiscal deficit widened to 5.2% of GDP in the July–March FY2025/26 period, representing slippage relative to programme targets (DB, CEEMEA Macro & Strategy Weekly, June 2026). This reflects the combined impact of reduced Suez Canal revenues, higher energy import costs, and lower growth reducing the tax base. DB and Morgan Stanley project CPI re-accelerating toward 20% by year-end, requiring approximately 300bps of CBE rate hikes. That hiking cycle, while the appropriate monetary policy response, directly worsens gross financing needs by raising domestic T-bill rollover costs at the next auction.

On structural reform, the picture is mixed. The SOE divestment programme, intended as the primary mechanism for reducing GFN through asset sales, has stalled. The authorities plan to list 4–5 SOE firms by year-end, which would be a positive signal if delivered. Government guarantees to EGPC alone stand at approximately 18% of GDP, with total publicly-guaranteed debt of EGP5,379bn as of June 2025 (IMF 5th/6th Review). If EGPC upstream disruption persists and guarantees are called, the debt stock rises mechanically outside the primary balance trajectory.



Figure 3: Egypt CPI Inflation YoY (%), Monthly 3-Year. Source: Refinitiv Workspace / CAPMAS

3. Debt Sustainability Analysis

Baseline Path

Gross public debt declined from 97.2% of GDP in FY2023/24 to 91.8% in FY2024/25, the first meaningful reduction in several years, driven by favorable real interest-growth differentials, primary balance improvement, and external deleveraging. The IMF projects continued reduction toward 75% by 2031 under the baseline. At face value this is a genuine positive signal. The IMF’s own assessment, however, is that debt is “sustainable but not with high probability,” with overall sovereign stress rated HIGH.

The headline debt ratio conceals the actual risk profile. Three factors matter for a credit investor. First, composition: with 60% of domestic debt in short-term instruments and average maturity at issuance recently extended from 0.52 years to approximately 1 year (still extremely short), Egypt faces perpetual refinancing pressure that keeps GFN elevated irrespective of what happens to the stock level. Gross financing needs are projected to remain approximately 40% of GDP over the next three years and above 30% in the medium term, making Egypt structurally dependent on continuous domestic bank appetite and external market access simultaneously.

Second, the GCC deposit accounting. The IMF’s DSA explicitly includes \$18.3bn in GCC central bank deposits at the CBE within the measured public debt stock. Non-withdrawal assurances run through December 2026 only, coterminous with the EFF expiry. If those assurances lapse and are not renewed post-programme, the measured debt stock rises mechanically before any new market borrowing occurs. The IMF explicitly cites ad-hoc Gulf land sales (Ras El Hekma and the \$3.5bn Qatari transaction) as mitigating factors in the sustainability assessment. Post-war, if Gulf appetite for Egyptian asset acquisitions diminishes under lower oil prices and domestic investment prioritisation, that mitigant disappears at the next stress episode.

Third, the IMF’s medium-term risk model generates a 72.7% probability of a missed crisis signal between 2026 and 2031 if stress is not predicted, with only a 3.4% false alarm rate if stress is predicted (IMF Annex II, GFN module). This is a model output from the IMF’s sovereign risk framework, specifically measuring the GFN module’s ability to identify pre-crisis periods, and should be read as signalling that the gross financing needs trajectory is historically associated with stress episodes in comparable market-access countries. It does not predict a specific default event; it quantifies the risk that current GFN levels, left unaddressed, precede a stress event. For a year-end spread compression trade this is a 2027–2028 concern, not a 2026 concern. But it is the right tail risk to monitor.

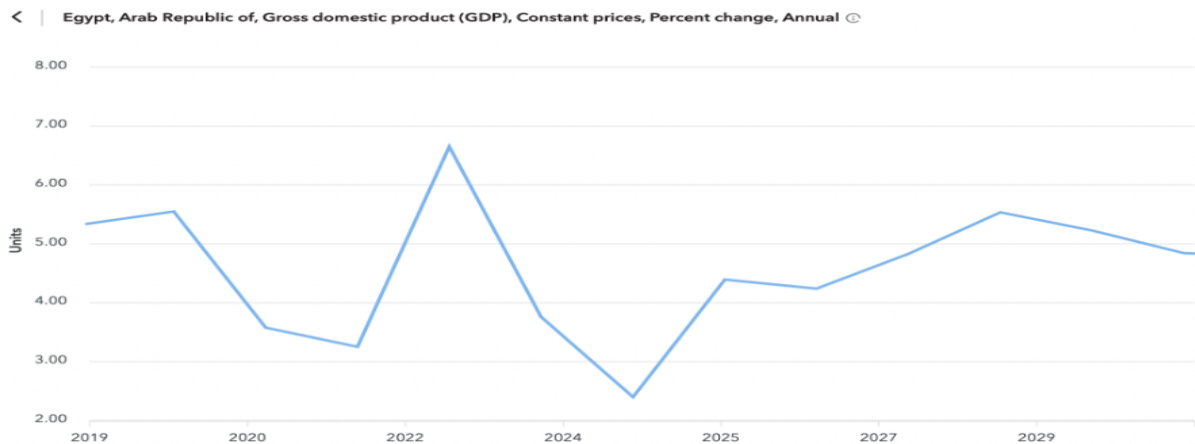


Figure 4: Egypt Real GDP Growth (% YoY), Annual. Source: IMF World Economic Outlook, April 2026

4. External Financing and Liquidity

Gross international reserves have rebuilt strongly from ~\$35bn in early 2023 to \$53.1bn as of May 2026, driven by the IMF programme, Ras El Hekma \$35bn UAE deal proceeds, the \$3.5bn Qatari land sale, and record nonresident T-bill inflows. This reserve rebuild is the most visible programme success and the most important near-term liquidity buffer. However, the rate of increase has flattened in 2025–2026, reflecting the Suez disruption impact on external receipts and the CBE’s commitment to maintaining a market-determined exchange rate rather than accumulating reserves through intervention.

The IMF programme provides a critical institutional anchor for external financing. The combined 5th and 6th reviews released SDR1,465.44mn, with remaining disbursements rephased through December 2026. Total financing needed to reach NIR targets is approximately \$13bn for FY2025/26 and \$4bn for FY2026/27, including IMF purchases. Multilateral and bilateral partner commitments of \$4.4bn and \$2.5bn respectively are embedded in the programme financing plan. Programme continuation is not in question over the 2026 horizon. Egypt has demonstrated capacity to meet QPCs under significant pressure, and the IMF has both financial and reputational reasons to maintain support given Egypt is its fifth largest GRA exposure.

The post-December 2026 cliff is the medium-term concern. The \$18.3bn in GCC CBE deposits carry non-withdrawal assurances only through the EFF expiry. Egypt will need to either renew those assurances bilaterally or replace that financing with market borrowing at prevailing spreads. At current CDS of ~281bps, that refinancing is expensive but not prohibitive. At 400–500bps, it becomes a material burden. The trajectory of GCC deposit assurances post-programme is therefore the single most important monitoring variable for the medium-term credit view.

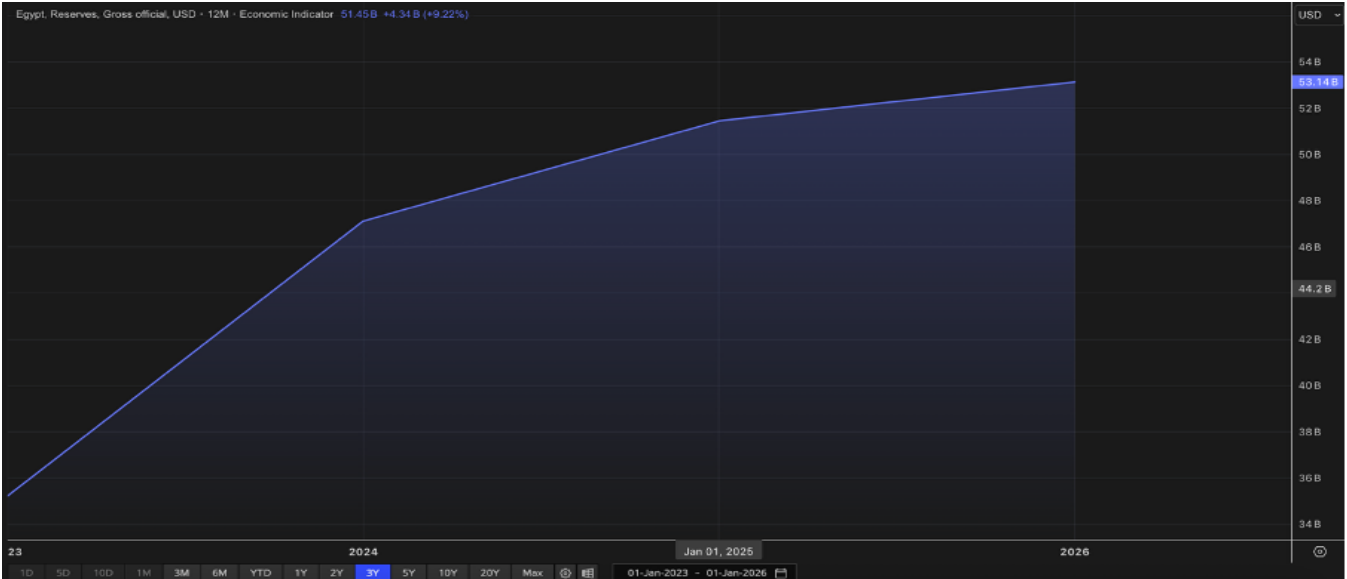


Figure 5: Egypt Gross International Reserves (USD bn), 3-Year. Source: Refinitiv Workspace / CBE

5. Key Risks

Downside Risks

- **Hormuz tail risk:** The US-Iran MoU is not a peace settlement. Mines remain in the strait, shipping incidents continue (a Singapore-flagged tanker was struck 25 June 2026), and any resumption of hostilities would re-escalate Suez disruption and regional risk-off simultaneously. Markets appear to be pricing too clean a de-escalation.
- **GCC financing gap:** Gulf states prioritising domestic investment (Saudi Vision 2030, Abu Dhabi industrial diversification) over bilateral regional support creates medium-term vulnerability as the EFF expires. At Brent ~\$70, Gulf fiscal positions are at or below breakeven, reducing discretionary bilateral capacity.
- **Inflation overshoot:** DB and MS forecast CPI re-accelerating toward 20% by year-end, requiring ~300bps of CBE rate hikes. The hiking cycle raises domestic T-bill rollover costs and could trigger carry trade outflows from local markets, pressuring EGP and reserves.
- **Hot money reversal:** Nonresident holdings of local T-bills doubled in 2025 to \$32.8bn. These are structurally fast-moving flows that can reverse quickly on sentiment deterioration. A simultaneous carry trade unwind would pressure EGP and reserves at the margin.
- **SOE contingent liabilities:** Government guarantees to EGPC alone stand at ~18% of GDP. Upstream production disruption in a post-conflict environment creates a tail scenario where guarantee calls add to the debt stock outside the primary balance trajectory.

Upside Risks

- **Suez Canal normalisation:** Faster-than-expected resumption of normal shipping volumes as conflict de-escalates would partially restore the \$9–10bn annual revenue run rate, easing the current account and fiscal position simultaneously.
- **SOE divestment delivery:** 4–5 planned SOE listings by year-end would generate GFN reduction and attract FDI, directly supporting programme compliance and market confidence.
- **Gulf re-engagement:** A sustained rise in oil prices from Hormuz stabilisation would restore Gulf fiscal surpluses and increase bilateral transfer willingness, strengthening the deposit assurance framework.
- **IMF 7th review completion (Q3 2026):** A clean review pass would be a strong positive signal to the market, likely driving spread compression independently of macro developments.

6. Trade Recommendation

I initiate a modest long in Egyptian eurobonds at current spread levels (~281bps 5yr CDS). I focus on the belly of the Egyptian eurobond curve in the 2029–2031 maturity range, where liquidity is deepest and duration is sufficient to express the spread compression view without taking on excessive long-end rate risk. My base case sees spread compression toward 220–240bps by year-end as the Iran shock fades and programme momentum resumes. I acknowledge meaningful downside risks around GCC financing and inflation persistence and would exit the position on a sustained move wider than 350bps or evidence of IMF programme derailment.

Instrument Selection: Eurobonds Over Local Currency

I focus on USD-denominated eurobonds rather than local currency instruments. While the carry on EGP T-bills remains attractive in nominal terms at ~25.66% (182-day, auction 25 June 2026), I share the consensus concern around EGP depreciation risk and the potential for renewed capital flight from local markets if the CBE's anticipated 300bps rate hike

triggers foreign investor outflows. Eurobonds eliminate FX translation risk and are governed by international law, providing a cleaner expression of my sovereign credit view without taking on currency exposure at a point of elevated EGP uncertainty.

DB notes that XCCY rates have fallen sharply following the Iran peace deal announcement, making hedged local bonds notably more attractive than swapped USD bonds at current levels. I acknowledge this improves the hedged carry math materially: at ~25% nominal yields the carry buffer is substantial even after hedging costs. However I remain sceptical in practice: EGP forward markets are structurally thin, a concern that predates the current conflict. The Iran war has added a layer of uncertainty that NDF markets have not yet fully priced, suggesting liquidity could deteriorate further if foreign carry investors move to unwind positions simultaneously. Capital control risk remains a tail scenario in a stress event that would prevent repatriation regardless of hedge. The anticipated 300bps CBE rate hike, while supportive of carry, signals the central bank is itself concerned about EGP stability. I therefore prefer the cleaner USD exposure of eurobonds. That said, for investors with access to deep XCCY markets and comfort with EGP liquidity, the hedged local bond trade warrants consideration alongside eurobonds.

Hormuz Tail Risk

Markets appear to be pricing a relatively clean de-escalation of Hormuz risk, with oil back at ~\$70 and Egyptian CDS at 281bps. I am less sanguine. The US-Iran MoU is not a peace settlement. Mines remain in the strait with a narrow route hugging the Omani coastline, shipping incidents continue with a Singapore-flagged tanker struck as recently as 25 June 2026, and any resumption of hostilities would trigger renewed oil volatility and regional risk-off. For Egypt this creates a two-sided risk: higher oil would partially restore GCC fiscal capacity and bilateral support, but renewed Suez disruption and sentiment deterioration would pressure spreads independently of fundamentals. I therefore maintain a cautiously constructive view but size the position modestly to reflect this unresolved tail risk.

Contingent Liability Watch

A further risk sits outside the macro drift scenarios: contingent liability crystallisation from the SOE sector. Government guarantees to EGPC alone stand at approximately 18% of GDP, within a total publicly-guaranteed debt stock of EGP5,379bn as of June 2025. The IMF's own stress test treats this as a discrete scenario, rated medium likelihood with medium-to-high impact. EGPC arrears to international suppliers had fallen from \$6.2bn to approximately \$2bn by December 2025 under the programme's energy sector reform push, but \$2bn in outstanding arrears in a post-conflict production environment represents residual crystallisation risk. This is not the base case, but it is a known unknown that sits entirely outside the spread compression thesis and cannot be hedged through position sizing alone.

7. Conclusion

Egypt sits at an inflection point. The macro stabilisation achieved under the 2024 EFF is genuine — reserves rebuilt to \$53bn, inflation down from a 38% peak, primary balance in surplus, and the exchange rate framework credibly maintained. The Iran conflict has disrupted that trajectory through three simultaneous channels, but the disruption is externally driven rather than a reflection of programme failure. With oil back at ~\$70 and the US-Iran MoU providing a partial ceasefire framework, the acute phase appears to be abating.

The investment case for Egyptian eurobonds rests on a simple proposition: at 281bps CDS, the market is pricing more stress than the programme fundamentals warrant over a 12-month horizon. The IMF anchor holds through December 2026, GCC deposit assurances are locked through the same date, and the 7th review completion in Q3 2026 is a credible positive catalyst. I target spread compression toward 220-240bps by year-end, sized modestly to reflect the Hormuz tail risk and the medium-term GCC financing gap that emerges post-programme.

The view turns negative on two triggers: a failed IMF review without a credible corrective path, or evidence that Gulf states are withdrawing deposit support ahead of the December 2026 expiry. Neither is the base case. Until then, the carry compensates for the risk and the programme anchor provides the floor.

Sources

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